SFC Reprimands Luk Fook Securities for Cybersecurity Failures

- The SFC reprimanded Luk Fook Securities (HK) Limited (LFSHK) with a $2.1 million fine for inadequate cybersecurity measures following a ransomware attack.
- Key deficiencies included lack of firewall protection, outdated software, weak access controls, poor password management, insufficient remote access controls, and inadequate training.
- LFSHK's failure to comply with cybersecurity requirements impacted client trading capabilities and system recovery.

What this means: *The SFC expects all firms licensed under the Securities and Futures Ordinance to implement robust cybersecurity measures, particularly in preventing ransomware attacks and ensuring prompt recovery. Firms must enhance their controls over network security, software updates, user access, password management, remote access, and staff training to mitigate similar risks.*